TON618 Capital

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THEMATIC RESEARCH · CYBERSECURITY

The Survivor Premium

The market has already declared the winners of an unfinished arms race: a 42-fold valuation spread, an empty middle, and the profits sitting on the side the market condemned. This note asks whether the sort is right.

Pricing as of 2026-08-28 unless dated otherwise. A companion TON618 note, The Price Ran Past the Platform, values Palo Alto Networks as a single name; this note is the industry, not any one name. A follow-up note, The Access List (September 6, 2026), maps the frontier-AI access regime that formalized after this note's publication against its fifteen-name sort. A second follow-up, The Referee Has a Book on the Game (September 11, 2026), reads the sector's outcomes — and who keeps score — off the cyber insurers' own filings.

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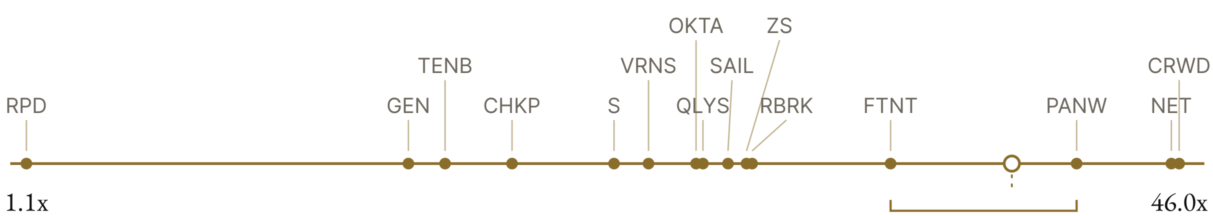

the empty middle — no name between 17.9x and 32.9x

○ Palo Alto alone re-enters the gap at ≈27x on its FY26 guide

THE NUMBERS UP FRONT

1.1x → 46x	-1.5% to +38%	18x	26%	>$20 billion
price-to-sales across one fifteen-name cybersecurity universe: a forty-two-fold spread, wider than anything else we run this engine on.	the entire growth spread that forty-two-fold gap is nominally pricing. The multiples disperse far harder than the fundamentals do.	the ceiling: no name that earned a GAAP profit in its latest quarter trades above it, and no name above 30x sales earned one. The premium sits where the profits are not.	the premium Palo Alto Networks paid for CyberArk, the last announced of three mega-deals (~$85B) that all closed inside twenty-four months: strategic acquirers grading the market's sort, in cash and stock.	Microsoft's security revenue at last disclosure (January 2023 — never updated since). Roughly what the three largest pure-plays bill combined *today* ($20.8B), on a figure three and a half years stale.

Before the verdict — the constructive case on price, in its own terms. This note ends up skeptical of what the market pays for most of this group, so the side owed the strongest opening statement is the one that thinks the prices are right — and its strongest form is not "the sector is cheap." It is: **the sorting is correct, and early.** Consolidation in enterprise software is a winner-take-most process; the market's job is to price the endpoint before it arrives, and it is doing exactly that — paying survivor multiples for the three or four names with the consolidated contracts, the data network effects, and the balance sheets to buy whatever threatens them, while cash-flow-pricing everything on the losing side of procurement. On this view the 42x spread is not excess; it is *foresight*: the frontier compounds revenue at 21–38% year-over-year on gross margins that run to the low 80s (group median 77%), several of the marquee names carry net cash, and the buyer of last resort is a strategic acquirer that just paid 26% premiums for scarcity — three of the last four scale assets cleared at prices the trailing-multiple crowd called impossible. Trailing price-to-sales is the wrong lens for that case: it ignores net cash, ignores forward growth, and ignores that recurring revenue under multi-year contracts is a harder asset than the sales of almost any other industry at the same multiple. What this note tests of that case: whether the sort matches the operating facts (§2), the deal record (§5), the demand durability the premium assumes (§4), and the two forces that could re-run the sort entirely (§6–§7). What it cannot test within its frame: terminal margins and per-name discounted value — those need the single-name valuation engines, and we say so where it matters.

§ 1

The verdict

The question this note answers: **the market has already declared the winners of an unfinished arms race — is it right?**

Everyone knows cybersecurity is an arms race, and everyone can see it is not over: reported US cybercrime losses have run to records five years straight, and the disclosure calendar keeps converting each record into next year's mandatory budget (§4 measures all of it). What is genuinely strange is not the race; it is the *pricing*. Inside one fifteen-name universe, the market pays 33–46x sales for its three presumed champions, prices most of the rest at single-digit multiples, and marks the one name it has condemned outright at 1.1x — and the sort is near-binary at the top: on the uniform trailing basis, between Fortinet at 17.9x and Palo Alto at 32.9x sits not a single name (disclosed caveat: re-based to its own FY26 guide, Palo Alto alone moves into that gap at ≈27x — the shape softens from empty middle to a barbell with one name mid-air, and the name in question is the one mid-digestion of a $25B deal). That near-binary sort is what we call **survivorship pricing**: pre-paying for survival before it is proven — awarding the multiple of a finished consolidation to companies still fighting it. (Distinct from survivorship *bias*, the statistical error of measuring only the winners after the fact; this is the market committing the forward version on purpose.)

Three facts make the sort worth interrogating rather than accepting. First, **the dispersion is far wider than the fundamentals**: a 42-fold multiple spread prices a growth spread of -1.5% to +38% — the market is not paying for this decade's growth, it is paying for the *presumed end-state* of the next one. Second, **the premium sits where the GAAP profits are not**: every name that was GAAP-profitable in its latest quarter trades at 18x sales or less, and every name above 30x ran a GAAP loss in its latest quarter — the market has decided that current profitability is evidence of *harvesting a doomed position*, and current losses evidence of investment in a winning one. Third, the sort has a real-money referee: **strategic acquirers keep validating it at 26% premiums** — ~$85B of completed deals in twenty-four months, every one a platform buying a category leader off the condemned shelf.

The sort's two live falsification tests are already on the board. **Check Point is the same bet inverted**: at 13.6x trailing earnings with net cash, the market prices a melt that never accelerates — if the survivors' win is as total as their multiples claim, Check Point's ~1%-growth installed base should be *shrinking*, and it is not, yet. **Rapid7 is the tail actually breaking**: revenue -1.5%, recurring revenue down, a 12% headcount cut — the one name where the condemned-shelf pricing is being proven right in the operating numbers rather than assumed.

Our verdict on the group: the *direction* of the sort is broadly defensible — the procurement consolidation is real, the acquirers confirm it, and the one name the market condemned hardest is the one actually breaking. The *price* of the sort is not proven — the survivor premium assumes demand stays mandated (§4 says it substantially is), assumes the platforms win the arms race's next two theaters, and those two theaters — AI on both sides of the wall, and the quiet decentralization counter-thesis to everything the industry is consolidating toward — are genuinely open (§7). The sorting is right only if AI reinforces platform moats AND the cost of the monoculture the platforms are building stays unpriced. The honest output is a sorted watchlist, not a sector call — and one methods disclosure up front: our "frontier" growth cut is defined at ≥20% latest-quarter growth, so part of the mature-vs-frontier adjacency (18% vs 21%) is the cut-point itself; the -1.5%-to-+38% span is not.

§ 2

The sort, on one page

(Prices and market caps 2026-08-28. One basis rule, both columns: every growth figure AND every GAAP operating margin is the company's LATEST REPORTED QUARTER, year-over-year, as of 2026-08-29 — no mixing of annual and quarterly bases (refresh script archived with the data); the single exception is SailPoint's margin, fiscal-year-tagged because no quarterly GAAP figure is in our receipts. P/S = market cap ÷ latest fiscal-year revenue — plain price-to-sales because enterprise-value versions were not computable cleanly for the whole group; the appendix explains. And say the caps

out loud: ***P/S ignores the balance sheet in both directions — it penalizes the net-cash names here as surely as it flatters the levered ones.*** *Two further caps, stated: these are trailing multiples on latest fiscal-year revenue, which mechanically penalize the fastest growers — Palo Alto is the only row re-based to a forward guide because it is the only guide inside our receipts — and no row credits net cash. Both re-cuts land with the September filings refresh, and both move in the constructive case's favor. Full tables, per-name detail, and the short-interest annex are archived with the note's research files.)*

	NAME	PX / MCAP	P/S	GROWTH (LATEST QTR)	GAAP OP MARGIN	THE ONE-LINE READ
PRICED TO SURVIVE	Palo Alto (PANW)	$372.18 / $303B	32.9x (≈27x on FY26 guide)	+31% (acq.-assisted)	GAAP loss (q; deal costs)	the platform thesis incarnate, mid-digestion of its biggest deal ever; FY27 guide lands Sept 1
	CrowdStrike (CRWD)	$217.60 / $222B	46.0x	+26%, ARR $5.84B	-2.3% (q)	best moat exhibit in the sector (§4.2), richest multiple in the sector
	Cloudflare (NET)	$301.61 / $97B	44.9x	**+36%, accelerating**	-29.5% (q; AI investment)	fastest grower; a network that added security — kept with that caveat
THE EMPTY MIDDLE	—	—	*18x–33x*	—	—	*between Fortinet and Palo Alto: nothing. The market prices survival or condemnation, not a spectrum*
PROFITABLE, AND DISCOUNTED FOR IT	Fortinet (FTNT)	$165.78 / $122B	17.9x	+26%	**+34%** (q)	custom-silicon economics; the group's only fat-margin grower
	Qualys (QLYS)	$187.05 / $6.5B	9.7x	+11%	+34% (q)	small, profitable, heavily shorted (11.7% of shares)
	Check Point (CHKP)	$138.15 / ~$14B	5.2x · 13.6x P/E	+~1%	+27% (q; FY25 was 30.5%)	**the sort inverted**: priced for a melt that never accelerates (§2.1)
THE CONTESTED RACK	Zscaler (ZS)	$184.45 / $30B	11.2x	+25%; ARR $3.5B +25% (+21% ex-acquisition — an ARR figure; no organic revenue disclosed)	-3.5% (q)	architecturally right, commercially squeezed; a quarter of Cloudflare's multiple on comparable growth
	Okta (OKTA)	$166.20 / $28B	9.5x	+11%	+13% (q)	the last neutral identity platform of scale — the note's most interesting tension (§6, §9)
	SailPoint (SAIL)	$19.84 / $11B	10.5x	+21.6%	-29% (fy — no quarterly GAAP figure in receipts)	re-IPO'd governance player; private-equity overhang is a for-sale sign on a timer
THE CONDEMNED SHELF	SentinelOne (S)	$21.49 / $7B	7.2x	+21%, ARR $1.22B	-31% (q)	last independent next-gen endpoint asset; perpetual strategic chatter, unconfirmed
	Rubrik (RBRK)	$92.95 / $15B	11.4x	+38%; sub ARR +33%	-16.8% (q)	the growth asset of the mid-caps; convert-heavy balance sheet
	Varonis (VRNS)	$43.92 / $5B	8.1x	+18%; SaaS ARR +52% (+25% ex-conversions)	-22.6% (q)	mid-transition to SaaS; transition optics
	Tenable (TENB)	$37.70 / $4.2B	4.2x	+8.6%	**+4.6%** (q; FY25 was -0.9% — the sign flips on the quarterly basis)	cheap with balance-sheet reasons (§2.2) — and GAAP-profitable in its latest quarter
	Rapid7 (RPD)	$13.45 / $0.9B	1.1x	**-1.5%**; ARR -2%; 12% headcount cut (Aug 2026)	+1.4% (q)	**the tail actually breaking** — the one condemnation the operating numbers have ratified
CONSUMER	Gen Digital (GEN)	$30.79 / $18B	3.7x · 8.3% FCF yield	+6% GAAP (+11% non-GAAP incl. acquisition stub)	+33.2% (q, falling)	consumer security melted first — and our forensic pass says the yield is compensation, not opportunity (§2.2)

Read the shape, not just the spread. From 1.1x to 46x sales is a forty-two-fold gap inside one industry — wider than anything else we run this engine on — against a growth spread, on the clean one-quarter basis, of **mature half -1.5% to +18%, frontier +21% to +38%, full-universe median +21%** (disclosure: "frontier" is defined as ≥20% latest-quarter growth, so part of the 18-vs-21 adjacency is the cut-point itself — the -1.5%-to-+38% span is not). The distribution is near-binary: survivor premiums at one end, condemned discounts at the other, and an empty middle — no name prices between 18x and 33x sales on the uniform trailing basis (Palo Alto alone re-enters the gap at ≈27x on its FY26 guide, per §1's disclosed caveat). And the profits invert the premium: every name GAAP-profitable in its latest quarter trades at 18x or less; every name above 30x ran a latest-quarter GAAP loss. Growth-adjusting narrows but does not close the gap — and produces one twist worth printing: per point of latest-quarter growth, the most expensive stock in the group is not CrowdStrike (~1.8x P/S per point) but Check Point (~5x per point on ~1% growth) — the "value stock" is only value if the melt stops. The market is not pricing "cybersecurity"; it is pricing survivorship — and roughly along the lines §5 and §6 predict: premiums for the consolidators and the Microsoft-orthogonal (elite endpoint, custom silicon, consolidated contracts), discounts for the Microsoft-adjacent and the consolidatable.

2.1 Check Point: the sort, inverted

The cheap side of the sort is not a passive residue; it is its own bet. Check Point at 13.6x trailing earnings, with a net-cash balance sheet (symmetry note: its latest-quarter cash includes $1.8B raised in a $2B convertible offering — the same instrument we hold against the mid-caps, so it is counted here too), a 27% latest-quarter GAAP operating margin, and ~1% growth is the market pricing *managed decline* — a melt that continues but never accelerates. That makes it the mirror image of the survivor premium: if platformization's win is as total and as fast as a 46x multiple implies, the original firewall vendor's installed base should be visibly bleeding into the platforms' consolidated contracts — growth of ~1% is erosion, but it is not yet evidence of the avalanche the other end of the table has paid for. One end of this table is wrong about the speed of the same event. That is what makes the pair the cleanest expression of the note's question.

2.2 Cheap, with reasons

House rule: the cheapest names get an accounting check before anyone calls them mispriced — the forensic engine runs on the cheap names, not the expensive ones, because "cheap" is an accounting claim (the asserted bargain lives in the reported yield, earnings, and balance sheet), while the premium names' risk is the multiple itself, which is tested by §5–§7's structural questions rather than by audit. We ran the full forensic engine on the three cheapest. **Gen Digital: SERIOUS RED FLAGS** — a distress-zone solvency score, a receivables spike, a goodwill-heavy balance sheet three consumer acquisitions deep, ~3x net debt to EBITDA. Not proof of misstatement; proof that the 8.3% free-cash-flow yield is priced compensation for a levered roll-up whose organic economics are hard to see. **Tenable and Rapid7: ELEVATED CONCERN**, on matching patterns — goodwill, leverage, convertible-note stacks — which also caps what any acquirer would pay. The condemned end of this sector is not a refuge; it is a different risk.

§ 3

The stack, and how the money is made

Enterprise security is a stack of control points, each historically its own market:

- **Network security → SASE** (Secure Access Service Edge — delivering the corporate firewall and "zero-trust" access, where every user authenticates to each application instead of getting network-wide VPN access, as a cloud service): Palo Alto Networks, Fortinet, Check Point, Zscaler, Cloudflare.
- **Endpoint → XDR** (software agents on laptops and servers detecting malicious behavior; XDR extends the detection across email, cloud, and identity): CrowdStrike, SentinelOne, Microsoft Defender.
- **Identity** (who may log into what — including privileged-access management, the vaulting of administrator credentials): Okta, SailPoint, Microsoft Entra, and CyberArk — now inside Palo Alto.
- **Cloud security** (scanning cloud infrastructure and code for exploitable exposure): Wiz — now inside Google — plus the platforms' modules.
- **Security operations** (the SOC — security operations center — and its data layer, the SIEM, which aggregates logs and detections): Splunk — now inside Cisco — plus Microsoft Sentinel and the platforms.
- **Vulnerability management, data security, resilience**: Qualys, Tenable, Rapid7; Varonis; Rubrik.

- **Consumer**: Gen Digital (Norton, LifeLock, Avast).

Note how many layer leaders that list places *inside someone else* as of this year. That is §5.

The business model across the stack is subscription land-and-expand, measured in **ARR** (annual recurring revenue — the annualized value of active subscriptions): sell one module, then expand seats and cross-sell until existing customers grow spend every year. The economics it produces, from our comp spread (14 engine names plus a hand-built Check Point row; as-reported SEC filings; engine details in the appendix): gross margins of 64-83%, median 77% — genuine software economics. And yet **the median pure-play still loses money under GAAP** (median operating margin -2.9%), because stock-based compensation — employee pay issued as shares, a real cost that vendors' "non-GAAP" margins add back — runs a fifth of revenue at the median. Free cash flow is strong (26% median margin) but structurally flattered twice: subscriptions collect cash up front, and stock comp never touches the cash-flow statement. The symmetrical caveat: the GAAP losses those cash flows sit beside are themselves depressed at the acquisitive names by purchase-accounting amortization and deal costs — Palo Alto's latest quarter swung to a GAAP loss on exactly that. We quote GAAP first, always, and haircut both directions.

The exceptions prove the structure. Fortinet designs its own custom chips (ASICs) for traffic inspection, giving it a price-performance moat in physical appliances and industrial-edge security — and it converts that into the sector's best real profitability: a 34% GAAP operating margin *while growing 26%* (Q2 2026). Check Point runs the same physics a decade further on (§2.1).

And the demand mechanism, stated fairly. The naive version: security spend is fear- and compliance-driven, not return-on-investment-driven — no CFO can compute the return on the breach that didn't happen, but every CFO can compute the cost of being the company that skipped the control the regulator asked about. The fairer version, which the last three years demand: buyers *do* run ROI math — it is just consolidation ROI. After 2022, chief information security officers got budget scrutiny and started counting vendors and consoles. Both versions produce the same industry-level ratchet; they produce opposite per-vendor outcomes. The comp spread says the market believes the second version. So do we — and the whole survivor premium is a wager on the second version running to completion.

§ 4

The demand the premium pre-pays: durable enough?

Survivorship pricing has two legs: the winners keep winning, and *the prize keeps growing*. This section is the second leg — the primary-source evidence on whether the pie the survivors are fighting over keeps growing.

WHAT	LATEST	TRAJECTORY
Reported US cybercrime losses (FBI complaint center)	**$20.9B in 2025**; first year above 1M complaints	$4.2B (2020) → $10.3B (2022) → $16.6B (2024) → $20.9B — 5x in five years
Software vulnerabilities disclosed per year (CVEs — the catalog numbers assigned to publicly known flaws)	**49,972 in 2025**; 2026 through Aug 28 already 59,236 (partly backlog processing)	18,113 (2017) → 26,431 (2022) → 49,972 (2025) — up **2.8x** in eight years (our basis: NVD publication date, later-rejected records included; other counting conventions yield different levels)
Vulnerabilities confirmed exploited in the wild (CISA's Known Exploited Vulnerabilities catalog)	1,685 cataloged	187 added in 2023, 186 in 2024, 245 in 2025; 201 so far in 2026 — on pace (~300 annualized) to exceed every year since the catalog's 2021-22 launch backfill
Global security spending (Gartner forecast — an analyst estimate, not a measurement)	~$213B in 2025; 2026 forecast raised to **~$248.9B** in Gartner's mid-2026 update (from ~$240B in the July 2025 vintage)	+12-13%/year
Password attacks blocked by Microsoft's own systems	**>7,000 per second** (2024 report); identity attacks +32% in H1 2025 (2025 report)	up and to the right

The mechanism underneath the table deserves its own name — **the failure ratchet**: cybersecurity is the only industry we cover where the measurable failure of the product category *grows* the market. Nobody buys more of a drug that doesn't work. But a breach headline is unpaid marketing for the breach-prevention industry, because the buyer is not purchasing outcomes — the buyer is purchasing *defensibility*: against regulators (a lengthening calendar of mandatory-spend rules, §8.2), against boards and insurers (fear with a budget line), against the plaintiff's bar. Fear and compliance both ratchet in one direction. Demand is real and substantially mandated; this is not a fear bubble. That is the strongest thing the constructive case has going for it, and we concede it in full.

Two honesty notes on these series. The vulnerability counts partly reflect the cataloging agency working through a processing backlog — the decade trend is unambiguous, single-year jumps are not. And "reported losses" means reported: the series undercounts, and some of its growth is reporting propensity. We use these series exactly the way the industry's buyers do — as the fear index — because that is the point: the fear index only rises, and the compliance calendar has been legislated to follow it.

One series on the demand side has actually turned down: the US federal government's own cyber budget. CISA — the civilian cyber-defense agency — was cut roughly 17% in the administration's FY2026 request, which took positions down 29% (3,292 → 2,324); the FY2027 request asks for a further net reduction of roughly $360-386M (gross program cuts of $707M, partly offset by transfers) and lands headcount at 2,865. The buyer whose threat warnings legitimize everyone else's budget is trimming its own. That asymmetry — private mandated demand ratcheting while public discretionary demand is cut — runs through everything below.

4.1 Where we are in the cycle

Mid-cycle for the industry; late-cycle for the point-product business model. The threat tape above is at records, aggregate spend estimates still compound double-digit — and yet, on the one-quarter basis, the mature half of the universe grows -1.5% to +18% while the frontier grows +21% to +38%. That is not a demand cycle rolling over; it is share moving from point products to platforms and edges, exactly as the procurement story predicts. In that regime the sector beta stops meaning much: the *industry* metric compounds while half the universe ex-growths, and dispersion — not direction — becomes the trade. The one genuinely cyclical vertical is US federal (the cuts above; concentrated pain in federal-heavy franchises like Tenable's), and it has turned down for the first time in the sector's modern history while Brussels escalates enforcement in the opposite direction. Two sovereigns, two directions — a regional-mix story before it is a sector story.

4.2 The outage that proved the moat

On July 19, 2024, a faulty CrowdStrike content update — twenty-one input fields where the software expected twenty, per the company's own root-cause analysis — crashed roughly 8.5 million Windows machines worldwide, grounding airlines and stopping hospital systems; by most accounts the largest IT outage in history. The disclosed direct financial impact: about $60 million of near-term new business — about 1.6% of the company's ARR at the time. Two years later, ARR is **51% higher** ($3.86B at the outage, $5.84B today) and the company just called its latest quarter the best in its history. Read it precisely: the category's most public failure in a decade did not durably hurt *the company that caused it*. Switching costs dominate measured performance, and the industry is structurally insulated from its own outcomes. For the survivor premium this exhibit cuts twice. It is the best evidence the premium has — a moat that survives its owner detonating it is a real moat. And it is the quietest evidence against the architecture the premium is paying for: 8.5 million machines went down because one vendor's one update touched all of them at once. The consolidation the market is pre-paying *makes more of the world look like that*. Section 7.2 takes that thread seriously; tripwire CS-8 arms it.

§ 5

The acquirers grade the sort

Against the consolidation squeeze, the pure-plays' answer is **platformization** — become one of the few consolidated platforms a vendor-cutting customer keeps. The race produced the largest deal wave in the sector's history: three completions inside twenty-four months (March 2024 to March 2026), all verified against the acquirers' filings and releases:

DEAL	ANNOUNCED	CLOSED	PRICE	WHAT WAS CONSOLIDATED
Cisco – Splunk	Sep 2023	**Mar 2024**	~$28B	the SOC's data layer, into a networking giant
Google – Wiz	Mar 2025	**Mar 2026** (cleared unconditionally)	~$32B	cloud security's leader, into a hyperscaler
Palo Alto – CyberArk	Jul 2025	**Feb 11, 2026**	~$25B ($45.00 cash + 2.2005 PANW shares per share; 26% premium)	privileged identity, into the platform pure-play

Second-tier consolidation ran the same direction: Darktrace to private equity (~$5.3B, 2024), Recorded Future to Mastercard ($2.65B, 2024), Secureworks to Sophos (2025), three Check Point tuck-ins (2026). The pattern, not the deals: **platforms buying category leaders, at premiums, to shorten the race.** For the note's question this is the closest thing to an external referee the sort has: buyers with full diligence access, spending real balance sheet, keep paying premiums that ratify the market's division of the universe into consolidators and consolidated. The 26% CyberArk premium is the survivor premium expressed as an acquisition line item.

26%

The premium Palo Alto Networks paid for CyberArk — the last announced of three mega-deals, ~$85 billion of completed deals in twenty-four months, every one a platform buying a category leader off the condemned shelf. The survivor premium, expressed as an acquisition line item.

Is platformization winning? Both sides have real numbers. Palo Alto's next-generation security ARR reached $8.1B, +60% — but that includes $1.6B *acquired*, so the organic rate is materially lower. CrowdStrike's consolidation vehicle (Falcon Flex, a flexible spend commitment across its modules) more than doubled year-over-year to $2.29B of its $5.84B ARR. Meanwhile the best single-category products still out-grow every platform organically — Cloudflare +36% revenue and accelerating, Rubrik +38% revenue, Zscaler +21% ARR excluding its own acquisition (its only disclosed ex-acquisition figure; organic revenue is not broken out) — because in security, unlike office software, a second-best control is a liability you can measure in incident response. The honest synthesis: platforms are winning *procurement*; best-of-breed keeps winning *product*; which is why the platforms keep having to buy the best-of-breeds. That loop is the industry's operating system.

And the shelf is nearly bare. What remains on the board: in identity, only Okta and SailPoint; in next-gen endpoint, only SentinelOne; in security operations and cloud security, effectively nothing of scale. The mid-cap shelf (Qualys, Tenable, Rapid7, Varonis, Rubrik) is textbook consolidation feedstock — except our forensic pass shows the convert stacks an acquirer would inherit. And the two-sided catalyst nobody prices: Palo Alto's digestion itself. If the CyberArk integration visibly works, the platform-buys-leader playbook gets re-run — by Palo Alto again, by CrowdStrike, possibly by Google. If it visibly struggles, the premium the market pays for "consolidation winners" is exactly the thing that re-rates. This is a scarcity map with dated observables, not a prediction; we assign no take-out odds and imply no positions.

§ 6

Microsoft, three ways

The largest security company on earth is not in the comp spread, and it bears on the sort in three distinct roles. Most sector notes pick one. All three are live at once, and they do not point the same way.

Role one: the competitor. In January 2023 Microsoft disclosed that its security business had passed **$20 billion in revenue** — a figure it has not updated publicly since. On our own spread, Palo Alto Networks, CrowdStrike, and

Fortinet bill about $20.8B combined on their latest fiscal years: the three largest pure-plays *together* have only just caught up to where Microsoft said it was three and a half years ago. The delivery mechanism is the **E5 bundle**: the top Microsoft 365 enterprise license includes serviceable versions of endpoint protection, email security, identity, and compliance tooling — four or five entire pure-play categories — "good enough, and already paid for," at a marginal price no standalone vendor can meet. Three and a half years without an update leaves the current figure unknown; third parties publish estimates of the business's current size, but every one of them is an estimate of an undisclosed number, and we adopt none. We score the disclosure record, not the motive: a re-disclosure below ~$25B would say the bundle compounded slower than the pure-plays did over the same span, and would count *for* the sector; silence scores as silence. The exposure map by layer is the sort's hidden second axis: **Okta is the most direct collision** (workforce identity against bundled Entra — the same buyer, the same seat, the same renewal conversation); **endpoint is head-on but differentiated** (CrowdStrike built $5.84B of ARR *while* Defender rode in the bundle — elite response quality is measurable, and buyers pay for it); **network and firewall are the least exposed** (Microsoft has no appliance business, no industrial edge — and that is exactly where the group's GAAP profits live: Fortinet, Check Point, Qualys adjacent); **consumer melted first** (the antivirus aisle Microsoft's built-in Defender commoditized a decade ago is the business Gen Digital rolled up at 3.7x sales). The market's discounts trace this map almost name for name — which is the strongest evidence that the sort is *reasoned*, not momentum.

Role two: the platform landlord. The pure-plays do not merely compete with Microsoft; they *operate on its property*. The industry's flagship products defend Windows machines and Entra identities through interfaces Microsoft designs, documents, and can re-draw — the industry protects Microsoft's surfaces via Microsoft's APIs. The July 2024 outage made the tenancy explicit: after one vendor's kernel-level update crashed 8.5 million Windows machines, it was *Microsoft* that convened the endpoint security vendors (September 2024), and Microsoft that announced the Windows Resiliency Initiative (November 2024) — a program whose stated direction is moving third-party security software out of the Windows kernel, the deepest layer of the operating system, into a Microsoft-defined framework, with vendor previews underway through 2025. Read structurally, not conspiratorially: the landlord is renovating, the renovation is genuinely safety-motivated, and it also happens to move every competing endpoint vendor from privileged tenancy onto an interface the landlord controls and its own product knows best. Whatever the intent, the *leverage* is the point — a security industry whose access to the machine it defends is mediated by its largest competitor carries a structural dependency no other software vertical has.

Role three: the demand source. The monoculture IS the attack surface. The same ubiquity that makes the bundle unbeatable makes Microsoft's platforms the world's most-attacked infrastructure: Microsoft's own systems block **more than 7,000 password attacks per second** (its 2024 report), its 2023-24 nation-state incidents drew harshly critical language from the federal Cyber Safety Review Board, and every one of those events writes budget justifications for the pure-plays that defend Microsoft estates. A meaningful fraction of the industry's revenue is, functionally, the cost of securing the Microsoft monoculture — Microsoft sells the terrain, the attackers farm it, and the pure-plays sell the fencing.

The close, and the tell. Platformization — the strategy every survivor premium is paying for — is the pure-plays copying Microsoft's playbook (bundle everything, own the data layer, make leaving unthinkable) *before Microsoft finishes running it on them*. Whether there is room for three or four bundles under the biggest bundle in enterprise history is the terminal question behind every multiple in §2. The dated tell is already armed: tripwire CS-3 — Microsoft re-disclosing security revenue at $35B or more, or unbundling E5 security into a cheaper standalone tier — is the "harvest begun" signal, the moment the landlord stops growing the district and starts collecting.

§ 7

The two forward questions

Everything above is the arms race as it stands. The sort is a bet on how it ends, and its terminal value hangs on two questions the industry itself considers open. We think they are the most interesting questions in the sector's future — and the sorting is right only if the first resolves toward the platforms AND the second stays unpriced.

7.1 AI, on both sides of the wall

The attack side is a demand tailwind whose markers are already on §4's table: Microsoft's telemetry blocking over 7,000 password attacks per second, identity attacks up 32% in the first half of 2025, and the FBI's record $20.9B loss year — led by the two fraud categories AI most obviously industrializes. Attribution of the increase to AI specifically is mostly vendor marketing; the volume records and the mandatory-disclosure rules that turn attacks into budget events are not.

The defense side cuts the other way, and deserves respect: every vendor now ships an "agentic SOC" — AI agents doing the triage work of human security analysts (Microsoft's Security Copilot agents; CrowdStrike's Charlotte AI, claiming forty analyst-hours saved per week — vendor claims, labeled). Security operations is where security spending is substantially *labor*, and agents compress labor. If a tier-one analyst's queue can be triaged by software bundled into a platform contract, the managed-services hours and per-seat tooling that analyst used are the first casualties. This industry has commoditized every product layer it ever invented — antivirus, firewalls, log pricing — and always escaped by inventing the next layer up. AI is the first force that commoditizes the operations layer too. Whether the next layer is bigger than the one being compressed is the sector's genuine open question, and we arm a tripwire on it rather than resolve it by assertion (§11).

The strongest version of "the next layer": **non-human identity**. AI agents hold credentials — service accounts, API keys, certificates — and the industry's own survey data (from CyberArk, now published under Palo Alto's banner; a vendor survey, labeled as such) counts **109 machine identities per human identity**, up from 82 a year earlier. Every deployed agent is a privileged credential that never sleeps and can be prompt-injected. That is the stated logic of the sector's biggest-ever deal — $25B for the privileged-access leader — and the tell is dated: if agent identity is a real market and not a slideware category, it shows up first in Palo Alto's identity attach (guide: September 1) and in whether Okta's and SailPoint's growth re-accelerates.

For the sort: AI is the question of whether the platforms' data moats deepen (agentic defense feeds on exactly the consolidated telemetry the platforms own — the constructive case) or whether agents commoditize the operations layer faster than non-human identity replaces it (the deflation case). The survivor premium has silently assumed the first.

⊠ 7.2 The decentralization counter-thesis

Every strategy in this note runs one direction: centralize. One agent, one data lake, one console, one vendor, one throat to choke — platformization is the industry selling concentration as safety, and the market paying survivor premiums for the sellers. The counter-thesis is hiding in this note's own best exhibit: the July 2024 outage is what the monoculture costs — 8.5 million machines down because one vendor's one update touched all of them at once — and the consolidation being pre-paid at 33-46x sales *increases* the number of single points whose failure looks like that. The direct cost of concentration is the one line item no multiple in §2 carries.

And a quieter counter-architecture already exists — not as a sector, but as a set of primitives leaking out of cryptography research and crypto-asset custody into the enterprise stack. Where it actually lives today, primary-sourced:

- **Threshold cryptography and MPC** (multi-party computation — splitting a cryptographic key across several parties so that no single machine ever holds the whole secret, and no single compromise yields it). The technology industrialized in crypto-asset custody and has been imported by mainstream finance: PayPal acquired the MPC-custody firm Curv in 2021, Coinbase acquired Unbound Security in a deal completed in January 2022, and NIST — the US standards body — has run a threshold-cryptography standardization track since 2019, issuing its call for multi-party threshold schemes in draft in 2023 and finalizing it in January 2026. The enterprise meaning: the crown-jewel key vault, today a centralized product category, has a decentralized replacement in standardization.
- **Passkeys / FIDO2** (public-key login credentials bound to the user's device, replacing the central password database — the thing that gets breached — with cryptography, under standards from the FIDO Alliance and W3C). Apple, Google, and Microsoft committed jointly to the standard in May 2022; Microsoft made new consumer accounts passwordless by default in May 2025. Note what this is: the elimination, at the architecture layer, of the attack class Microsoft's own telemetry counts 7,000 times per second — its 2025 report attributes more than 97% of identity attacks to password attacks (spraying and brute force), and a passkey has no password to attack.
- **Transparency logs** (append-only public ledgers that make tampering visible rather than trusting an authority). This primitive did not come from crypto-assets: Certificate Transparency originated in Google's public-key-infrastructure response to the DigiNotar certificate-authority compromise (standardized 2013), and it has been mandatory plumbing since 2018 — Chrome requires every publicly trusted web certificate to be published to public logs. The same pattern now signs the software supply chain: the Kubernetes project signs its releases with Sigstore's transparency log (production since 2022), and npm — the world's largest software registry — ships Sigstore-backed provenance attestations (introduced 2023).
- **Decentralized identifiers and verifiable credentials** (W3C standards letting a person or machine hold and present cryptographically verifiable identity claims directly, instead of every verification routing through a central identity provider). DIDs became a W3C Recommendation in July 2022; the Verifiable Credentials 2.0 data model followed in May 2025. And the vendor pushing the stack

hardest into enterprises is, ironically, Microsoft — whose Entra Verified ID service (generally available since 2022) sells decentralized identity *as a feature of the most centralized identity platform on earth*. The incumbent is hedging the architecture question; the market is not.

Why the economics resist it — stated as strongly as the primitives deserve: threat intelligence has network effects that *need* centralization (every customer's telemetry improves everyone's detection — the platforms' data moats are real, and a fragmented defense forfeits them); buyers demonstrably want one throat to choke (the entire procurement consolidation of §5 is revealed preference); and the compliance calendar audits vendors and controls, not architectures — no regulation yet rewards an enterprise for having no central credential store to breach. So the pattern to date is absorption, not disruption: each decentralized primitive that works gets swallowed as a feature of a centralized platform — passkeys sync through platform vaults, Entra sells the DID stack, the platforms will sell "MPC-backed" key management. The realistic base case is that decentralization de-fangs specific attack classes (passwords, certificate forgery, supply-chain tampering) while the industry's commercial structure centralizes anyway.

The honest investment close: **almost none of this is investable through listed names yet.** No company in our universe is a decentralization pure-play; the primitives live in standards bodies, open-source projects, private custody-tech firms, and — as absorbed features — inside the very platforms the premium already prices. We flag the counter-thesis not as a trade but as the unpriced risk term on the survivor premium: the sort assumes the monoculture's cost stays externalized. Tripwire CS-8 (§11) arms the observable — the day a regulator, an insurer, or a second cross-customer outage forces that cost onto a price tag, the premium tier re-rates from the risk side, not the growth side.

§ 8

The dated catalysts

8.1 The quantum migration — the mandated one

(Cross-linked to the house quantum series — v1.0, June 2026, and the August 2026 re-score — and consistent with its clocks and tripwires. Nothing here asserts Q-Day is near.)

A cryptographically relevant quantum computer would break the public-key encryption underlying secure communication. The house series puts code-breaking-relevant capability at roughly **35-40% odds within ten years**, with commercial fault tolerance a 2030s story; the current laboratory frontier is ~70 claimed logical qubits against the ~1,200 the series benchmarks as needed to threaten a 256-bit elliptic-curve key. This note moves none of those numbers.

The investable point is different: **the defensive migration is mandated regardless of whether the machine ever arrives.** The driver is "harvest now, decrypt later" — adversaries recording encrypted traffic today to decrypt the day a capable machine exists — which makes long-secrecy data *already* exposed, and which governments have therefore legislated against on fixed calendars. The post-quantum cryptography (**PQC**) standards are finished: NIST finalized the ML-KEM encryption and ML-DSA signature standards in August 2024. The NSA's transition schedule for national-security systems gates *procurement* from January 2027 and requires full transition by 2030-2033 depending on system type (dates paraphrased from NSA transition documents — sourcing note in the appendix). And in June 2026 the federal civilian calendar hardened at its sensitive core: the **June 22, 2026 White House executive order on post-quantum readiness** (implemented through OMB memorandum M-26-15) sets dated milestones — quantum-resistant *encryption* by **December 31, 2030** and quantum-resistant *authentication* by **December 31, 2031** — scoped to high-value assets and high-impact/highly-sensitive systems, "as feasible," with full migration retained as the final phase by **2035**. Narrower than a government-wide deadline, but it converts the most sensitive slice of the 2035 goal into dated, phased procurement obligations. The federal civilian migration alone carries a ~$7.1B official cost estimate for 2025-2035, a floor that excludes defense and intelligence. And deployment is already measurable: by Cloudflare's traffic data, post-quantum-encrypted web traffic went from 29% of human browsing at the start of 2025 to about 52% by December, inflected by Apple's OS releases.

Who gets paid is the part the market persistently gets wrong. Not, on this evidence, the quantum-computing stocks (the house series covers that trade). The migration is a decade of cryptographic inventory-and-replacement inside firewalls, VPNs, certificates, and key management — revenue that accrues to **crypto-agile incumbents** as a mandated refresh cycle (the network platforms and appliance vendors of §2, whose gear carries the cryptography) and to the certificate-lifecycle specialists, most of which are private or already acquired. No public pure-play in our universe discloses material PQC revenue today; any note quoting one would be manufacturing precision. The catalyst is the calendar: it converts a physics debate into a compliance budget — and if the quantum series' tripwires ever fire, that budget goes from scheduled to panicked.

8.2 The regulation calendar

Every item verified against the regulator's own text (details in the appendix). Binding now: the SEC's four-business-day incident-disclosure rule (in force since December 2023 — with a live industry petition to rescind it, worth watching under a deregulatory Commission); the EU's **DORA** (operational-resilience rules for finance, applied January 2025) and **NIS2** (the largest expansion of mandatory security baselines in EU history — transposition so late that the Commission referred four member states to the EU Court of Justice in July 2026, which means most of that demand is still *arriving*); and **CMMC**, the Pentagon's certification regime, a condition of contract award since November 2025 phasing across a defense industrial base the rule's own analysis puts at ~220,000 companies, through 2028. Add the June 2026 post-quantum executive order (§8.1): its 2030/2031 milestones for agencies' most sensitive systems are now part of this same mandatory-spend calendar.

Dated, inside ninety days: the EU Cyber Resilience Act's vulnerability-reporting obligations apply **September 11, 2026**; the long-delayed US critical-infrastructure incident-reporting rule (CIRCIA — 72-hour reporting across sixteen sectors) is projected for **September 2026**, having already missed one statutory deadline; and the twice-extended Cybersecurity Information Sharing Act expires again **September 30, 2026**. Against all of that, the same US government mandating private spend is cutting its own cyber agency (§4) — the sector's compliance tailwind and its sentiment headwind currently share a return address.

§ 9

The case against the sort — both directions

(Two sides get steelmanned in this note, and they are different sides. The block before §1 stated the constructive case for the sector's PRICES — "the sorting is correct and early" — the side this note's valuation verdict cuts against. This block states the skeptic's case against the sector's DEMAND STORY and the sort's foundations — the side the note's industry verdict cuts against. In its own strongest terms, before we test it:)

Microsoft ends every pure-play's story; it is only a question of when. The largest security vendor is not in the spread. Its last disclosed security revenue — $20B, three and a half years ago, never updated — is a figure the three biggest pure-plays *combined* have only now caught up to, and it ships inside a license the customer already buys, at a marginal price no standalone vendor can meet. The pure-plays' own strategy — consolidate into platforms — concedes the endgame: three or four bundles, and Microsoft owns the biggest bundle in enterprise history, plus the operating system the others rent access to. You are paying 10-46x sales for companies whose terminal competitor gives the product away and controls the ground they defend.

The "ratchet" is a budget reallocation marketed as a growth market. Aggregate spend grows 12-13% on the vendors' favorite analyst estimate, but the mature half of the universe grows -1.5% to +18% on the latest quarter — one of them is now outright shrinking. Buyers are not writing bigger checks out of fear; they are consolidating vendor count under CFO pressure — a zero-sum reallocation among sellers. The platform headline rates are flattered by acquired revenue and repackaged commitments; strip the wrappers and the industry's organic rate is its customers' budget growth — high single digits — while half the universe is priced for permanent twenty.

AI deflates this industry before it inflates it. Security's revenue pool is substantially labor-adjacent — analyst seats, managed-services hours, per-seat tooling — and the agentic products every vendor proudly launched are labor-compression machines whose marketing (forty analyst-hours saved a week) is deflation math stated as a feature. Every prior product layer here commoditized within a decade; AI is the first force that commoditizes the operations layer too. The constructive case assumes the savings get re-spent inside security. Nothing guarantees that.

The accounting says the sector never earned its multiple. Median GAAP operating margin: negative, at scale, fifteen years into the subscription era. Stock compensation: a fifth of revenue at the median. The cash flow is flattered by up-front collection and the stock-comp add-back. The cheapest large name carries a serious-red-flags forensic verdict; the cheap mid-caps carry convertible stacks; the best real GAAP business trades at 61x trailing earnings.

Even the demand floor has a crack. The fear-buyer of last resort — the US government — cut its own cyber agency, cut its cyber-agency positions 29% in one budget request, let its information-sharing statute lapse in 2025, and now runs it on short-

> term extensions. And the CrowdStrike outage, read coldly, shows buyers stayed not because the product is irreplaceable but because they *cannot leave*. Industries whose customers are captive and whose failures are consequence-free eventually meet the regulator, or the substitute.

§ 10

Testing it

On Microsoft: partly conceded — and already priced, name by name. The strong form fails on a decade of evidence: CrowdStrike built $5.8B of ARR *while* Defender was effectively free in the bundle; Okta still holds workforce identity at scale against bundled Entra; the layers Microsoft's bundle could clear, it cleared years ago. Security is adversarial — "good enough" is a measurable liability after the first incident — and cross-cloud neutrality cannot be bundled away by definition. What survives: the bundle is the correct explanation for the *dispersion*. It is exactly the Microsoft-adjacent names that trade at the discounts and the Microsoft-orthogonal names that hold the premiums (§6's exposure map). The market has graded this claim name by name, and roughly correctly — which is evidence the sort is reasoned, not that it is cheap.

On reallocation-versus-growth: the skeptic's best point, and it mostly survives. Our own spread says growth ex-frontier runs -1.5% to +18% with a median of +8.6% — though the full universe, frontier included, medians +21% on the same one-quarter basis, and fairness requires printing both — and we showed the acquired-ARR flattery ourselves. Where it overreaches: the regulation calendar is not budget-neutral. NIS2, DORA, CMMC, and the CRA create spend obligations for hundreds of thousands of entities that previously spent near zero — Europe's mid-market, the US defense supply chain — arriving on statutory schedules through 2028. The ratchet is real at the bottom of the pyramid even while the top consolidates.

On AI deflation: unresolved, and we refuse to resolve it by assertion. The evidence on both sides is vendor claims; no managed-services price crack or disclosed agent-cannibalization exists in reported numbers yet. It becomes a tripwire (below). We note only that this industry has escaped every prior commoditization by inventing the next control layer, and that non-human identity is the specified candidate — but for the first time, the deflation mechanism is specified too.

On the accounting: conceded as description, contested as verdict. Every figure is ours and stands. For the platform names it is the standard growth-software bargain — and Okta, GAAP-profitable since mid-2025 and expanding that margin to 13% in its latest quarter, shows the model can mature. For the sub-15%-growth shelf carrying 20-30% stock comp and convert leverage, the skeptic simply wins, and the market's 1-8x pricing of that shelf says it agrees.

On the federal crack: conceded as a vertical, rejected as a floor-breaker. It is one customer, single-digit revenue share for most vendors, concentrated where we flagged it — against a private mandated calendar enforced by a different sovereign. The divergence is a regional-mix trade unless the US deregulatory turn reaches the SEC's disclosure rule. That, too, is a tripwire.

Net: the sort's *direction* survives the test — the demand is substantially mandated, the dispersion tracks real exposure maps, and the skeptic's two winning points (top-of-pyramid reallocation; the structurally impaired mid-cap shelf) are already visible in the discounts. What no test above validates is the sort's *price*: the survivor premium is a claim about the terminal state of §7's two open questions, and both are open. The dispersion is the note.

§ 11

What would change our view

> *The read leans on four assumptions: mandated demand keeps aggregate spend compounding; consolidation transfers the growth to a handful of platforms and edges; the deflation and decentralization forces sort the universe rather than shrink or re-run it; the post-quantum migration is a dated demand floor. Each carries an observable that would flip it.*
>
> - **CS-1 — the prize stops growing:** two consecutive quarters of sub-10% median revenue growth across our spread *while* the loss and exploited-vulnerability series still set records → the fear-to-budget transmission has failed; the demand-durability leg

of the survivor premium fails with it, and the sort is fighting over a shrinking pot. Silence scores as silence.

- **CS-2 — platformization stalls:** Palo Alto's fiscal-2027 guidance (September 1) shows ex-acquisition platform ARR growth below 20%, or the identity attach is de-emphasized on two consecutive calls → the consolidation-winner premium loses its engine.
- **CS-3 — the gravity well accelerates (the "harvest begun" tell):** Microsoft re-discloses security revenue at $35B+, or unbundles E5 security into a cheaper standalone tier → the landlord stops growing the district and starts collecting; erosion becomes displacement, and every adjacent discount widens permanently.
- **CS-4 — AI deflation shows up in numbers:** a managed-security provider of scale reports price compression attributed to agentic tooling, or a universe vendor discloses automation-driven seat churn → §10's open question resolves for the skeptic; sector growth expectations reset down.
- **CS-5 — the US compliance leg folds:** the SEC rescinds its incident-disclosure requirement *and* the critical-infrastructure reporting rule slips past mid-2027 → the regulation calendar flips from tailwind ledger to risk ledger.
- **CS-6 — quantum re-rates (inherited):** the house quantum series' physics tripwires fire → the PQC migration converts from scheduled to emergency demand, and crypto-agile incumbents re-rate. Scored in that series; never re-scored here.
- **CS-7 — prices come to us (the upgrade tripwire):** the frontier de-rates to the low-20s on sales with ARR growth still above 25%, or a platform prints ex-acquisition ARR growth above 25% for two consecutive quarters → the survivor premium is being paid for a mechanism we can now see working, and the watchlist becomes a buy list. One asymmetry worth naming: CS-2 fires on a single guidance print while CS-7's platform leg asks for two consecutive quarters. That is deliberate — a guide is the company's own forward statement, a realized rate has to repeat — and CS-7's price leg fires on one observation.
- **CS-8 — the monoculture cost gets priced (new, 2026-08-29):** a regulator in a major jurisdiction proposes binding rules on security-software concentration or kernel-level access; or a major cyber insurer publicly attaches an aggregation surcharge or exclusion to single-vendor security estates; or a second cross-customer, single-vendor outage on the order of July 2024's recurs → the diversification discount the market currently prices at zero becomes a line item, and the premium tier re-rates from the risk side rather than the growth side. Silence scores as silence. The mirror: if no regulator or insurer has attached a concentration cost by year-end 2028 and no second cross-customer single-vendor outage has occurred, we retire the monoculture risk term and the premium tier stops carrying it. Five of the eight tripwires fire against the sector's pricing, two fire for it (CS-6's emergency-demand re-rate and CS-7's upgrade), and CS-8 fires specifically against the *premium tier's architecture* — the reversal set is two-directional by construction.

§ 12

What is actionable — honestly

Nothing in this note clears the bar of a conviction idea at current prices, and the house treats that as a publishable conclusion. The watchlist the evidence supports:

1. **The identity question (Okta).** The sector's biggest-ever deal was a $25B statement that identity is the control plane of the AI-agent era. The last independent identity platform of scale trades at 9.5x sales, GAAP-profitable since mid-2025 with the margin still expanding, on 11% growth — and it is simultaneously the sort's most direct Microsoft collision (§6) and its most obvious scarcity asset (§5). If agent identity is real, growth re-accelerates or someone pays the scarcity premium; if the bundle grinds on, it is a melting franchise at a fair price. A genuinely contested thesis — which is what makes it the interesting one. Killed by: contracted-backlog growth below ~10%, or CS-3.
2. **The sort's two falsification tests (Check Point; Rapid7 as the control).** Check Point at 13.6x earnings with a net-cash balance sheet (part convert-funded — §2.1's symmetry note) is the sort inverted: a bet that the melt never accelerates, and the cleanest single instrument for the thesis that the survivor premium overstates the speed of consolidation. Rapid7 is the case where the condemnation is being ratified in operating numbers — we do not short it into a live private-equity-consolidation chatter environment (take-out interest is reported, not confirmed), but it is the benchmark for what "the sort being right" looks like at the tail. Gen Digital's 8.3% cash yield is the value trap variant — serious forensic flags and 3x leverage; the yield is the risk premium.
3. **The squeezed architect (Zscaler).** Architecturally right, commercially squeezed, at a quarter of Cloudflare's multiple on comparable growth. Its fiscal-year guide prints September 3; no view until it does.
4. **Post-quantum exposure.** There is no clean public pure-play, and we decline to manufacture a "quantum-safe basket." The security expression of the mandated migration is incumbent and boring: it is already owned through the network platforms.

5. **Decentralization exposure.** None investable through listed names today (§7.2), and we decline to manufacture that basket too. The counter-thesis earns a tripwire (CS-8), not a position.

What we are deliberately not doing: no take-out speculation (the scarcity map is not a target list), no short on the mid-cap shelf into a live private-equity-consolidation bid environment, and no call on the two premium platforms in a sector note — those are single-name valuation questions, and the Palo Alto one is taken up in the companion valuation note.

APPENDIX

Sources & Method (appendix)

Basis. Prices/market caps: Schwab real-time, 2026-08-28. Fundamentals: latest annual as-reported SEC EDGAR XBRL via the house sector-comps engine (15-name curated universe; two Israeli foreign filers noted below), refreshed in the text to each company's most recent dated results release. P/S is market cap over latest fiscal-year revenue — enterprise-value variants were suppressed where EDGAR debt tags did not resolve (nine names), and we substituted plain P/S rather than hand-build EVs from mixed sources. Fiscal calendars differ across the group; where an annual basis is stale (notably Palo Alto, whose FY2026 filing lands with its September 1 report), multiples are re-based in the text to the company's own guidance and labeled. The "empty middle" and "profits below 18x / losses above 30x" statements in §1-§2 are derived arithmetic on this same archived table, no new data — the profit/loss inversion holds on the latest-quarter margin basis only (on the annual basis Palo Alto is GAAP-profitable at 32.9x), which is why every instance carries the "latest quarter" label.

Threat and spend series. FBI IC3 annual reports (losses/complaints); NIST NVD (CVE counts by NVD publication date, later-rejected records included — counts by CVE-ID year run lower; processing-backlog caveat as stated); CISA Known Exploited Vulnerabilities catalog (v2026.08.27); Microsoft Digital Defense Reports 2024 (password-attack rate) and 2025 (identity-attack growth; password-attack share of identity attacks — spraying and brute force together); Gartner information-security forecasts — July 2025 press release (archived vintage) and the 2Q26 forecast update carrying 2026 at ~$248.9B (analyst estimates, labeled); CyberArk/Palo Alto Identity Security Landscape 2026 (vendor survey, labeled).

Deals and filings. Completion evidence pulled directly from EDGAR (CyberArk Form 25-NSE and final 6-K of Feb 11, 2026; Splunk Form 25 of Mar 18, 2024) and acquirer completion releases (Google, Mar 11, 2026); consideration terms from the acquirers' announcement releases. Company operating figures from each issuer's own quarterly results release, dated inline.

Regulation. SEC release 33-11216 and the Federal Register; EUR-Lex (regulations 2022/2554, 2024/2847; directive 2022/2555) and European Commission infringement releases; 32 CFR 170 and the DFARS acquisition rule; public laws 119-37/119-75/119-86; the FY2027 President's Budget; NIST's August 2024 PQC standards release; the June 22, 2026 White House post-quantum executive order and OMB M-26-15; NSA CNSA 2.0 documents (flagged below); Cloudflare's published traffic measurements.

Microsoft roles and decentralization — sources. Microsoft security blog (Jan 25, 2023 — the $20B disclosure); Microsoft/press coverage of the September 2024 endpoint-security-ecosystem summit and the Windows Resiliency Initiative announced November 2024 (Microsoft blogs; Axios 2024-11-19; trade press on the 2025 kernel-exit previews); US Cyber Safety Review Board report on the 2023 Microsoft Exchange Online intrusion (April 2024); PayPal newsroom (Curv acquisition, announced March 2021); Coinbase blog and Form 10-K (Unbound Security acquisition, completed January 2022); NIST threshold-cryptography project (NISTIR 8214A roadmap 2019/2020; NISTIR 8214C call for multi-party threshold schemes — draft January 2023, final January 2026); FIDO Alliance / Apple newsroom (joint passkey commitment, May 2022); Microsoft Entra blog (passwordless-by-default, May 2025; Entra Verified ID GA 2022); Certificate Transparency (origin: Google's response to the DigiNotar certificate-authority compromise; RFC 6962, 2013) and the Chromium CT policy (all publicly trusted certificates issued after April 30, 2018); Kubernetes/Sigstore release-signing adoption (2022); GitHub/npm provenance announcements (2023); W3C press releases (DID v1.0 Recommendation, July 2022; Verifiable Credentials 2.0 Recommendation, May 2025). Deliberately omitted as unverifiable against primary sources at this vintage: any specific third-party estimate of Microsoft's current security revenue (figures circulate; none is a disclosure; none is adopted), and any count of Entra monthly identities (no primary source located — kept out of the note entirely).

Forensic and positioning receipts. Full forensic-accounting engine runs on the three cheapest names and the FINRA short-interest positioning gate on all fourteen US filers are archived with the note's research files, alongside every analysis script and data pull (including the 2026-08-29 one-basis scoreboard refresh script). Positioning summary, stated precisely: over the 90-day window shorts built in only two names — SailPoint (+1.3pp, a new listing with backfilled history, read cautiously) and Gen Digital (+0.3pp, consistent with the forensic flags) — while the heaviest covering came in Tenable (-4.6pp) and Zscaler (-3.1pp); elevated *levels* persist at two-year-percentile highs in Gen Digital, Qualys, and Rapid7.

Disclosed gaps and open items. Check Point files as a foreign private issuer (20-F): its row is hand-built from its own releases with a market-data share count, outside the engine's standard. The scoreboard was refreshed to a single latest-quarter basis on 2026-08-29, growth and GAAP margins both (refresh script archived in the data directory). The CNSA 2.0 dates and both Gartner vintages were independently corroborated (NSA PDFs still resist automated fetch, so CNSA dates remain paraphrase, never verbatim quotes); the NVD CVE-count basis (publication-date, rejected records included) was independently reproduced. The ~8.5M outage machine count is Microsoft's published estimate. The Microsoft $20B figure is presented only as "last disclosed" (January 2023). The September 1 (Palo Alto) and September 3 (Zscaler) fiscal-year reports land after this vintage; both are armed as tripwires (§11) rather than holds on this note, which stands on its stated as-of dates.
